C3: FF Finance and Financial Reporting

Topic 2 **Week 2**

Tuesday lecture supplementary information

Simple Partnership accounts example

Sam n Ella's Café

	£	£
Sales (Revenue / Turnover)		250,000
Cost of Sales		
Opening Stock (inventory)	5,000	
Purchases (Food and beverages)	70,000	
	75,000	
Closing Stock (inventory)	4,000	
		(79,000)
Gross Profit		171,000
Expenses:		
Rent and Rates	5,500	
Lighting and Heating (Gas & Electricity)	2,500	
Insurance	2,000	
Salaries and Wages	35,000	
Cleaning	10,000	
Postage	50	
Stationery & Printing	500	
Wifi	750	
PRS public music licence	500	
Advertising and Marketing	6,000	
Travel	2,000	
Sundry (misc)	200	
		(65,000)
Net Profit		**106,000**

Partnership profit share allocation (assuming 50:50 split)

Sam	53,000	
Ella	53,000	
Total profits allocated		106,000